

International Political Economy

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Last class: IOs and hegemons

- IOs can increase cooperation and reduce transaction costs.
- ...may also represent the interests of their powerful members.
 - ...countries like the US and more recently China.
- Both a tool for quid-pro quo and soft power.
- Independence is key for well-functioning IOs.
- Higher IO supply can provide forums for different issues.
 - ...but may also increase forum shopping undermining coordination.

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The Bretton Woods' big three

- IMF: coordinate international finance: fiscal and monetary policy.
- GATT (now WTO): promoting free trade and handle trade disputes.
- IBRD (now World Bank): reconstruct Europe; developing countries.
 - ...also IDA, IFC, ICSID and MIGA.
- A blue print for most other organizations.
- Today's focus is mostly developing economies.
- Loans + technical cooperation for development and globalization.
 - ...accompanied by conditionality.

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Kicking away the ladder

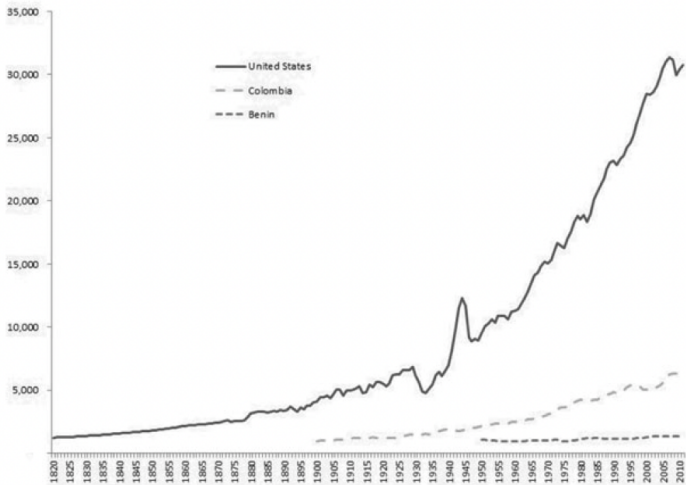
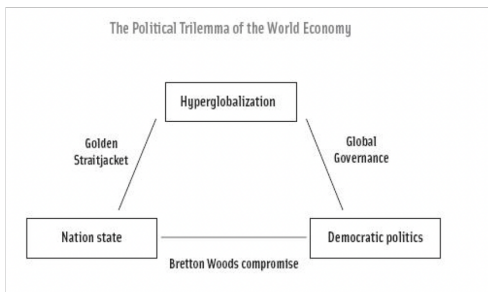


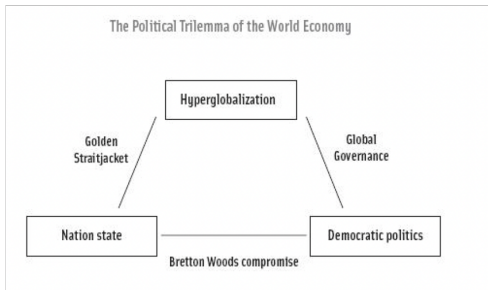
FIGURE 8.4 Per capita gross domestic product in the United States, Colombia, and Benin (constant U.S. dollars).

Kicking away the ladder



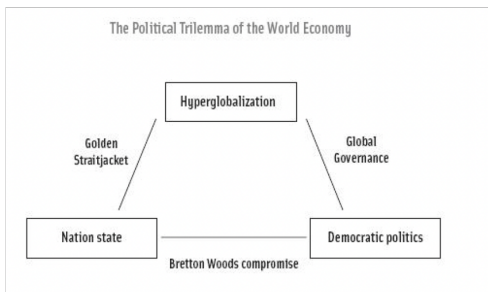
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 - Weak protection of property rights (e.g., China).
 - High protectionism and mercantilism (e.g., Europe + east asia).
 - “Benevolent dictator” (e.g., China, Korea and Singapore).
 - Inter-state war (e.g., Europe).
- Comparative advantage: endowment path-dependency .

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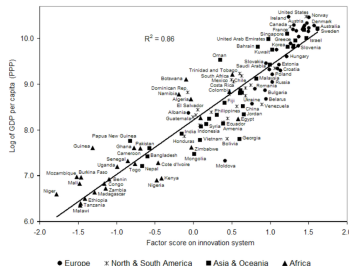
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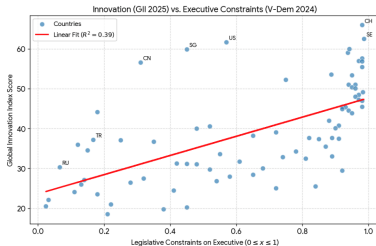
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■ **Competitive advantage: endogenous growth**

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- Competitive advantage: needs good institutions.

Good intentions generating bad outcomes

The problem: extractive institutions and authoritarianism.

- Technical assistance can confer power and legitimacy.
- Aid increases incentives and means to stay in power.
- Incremental progress may hamstring mobilization.
 - Generates stability at the expenso of the poors' rights.
- ...IOs are often neutral politically; suffer ivory tower syndrome.
- Staff can be constrained by results from quid-pro quo.
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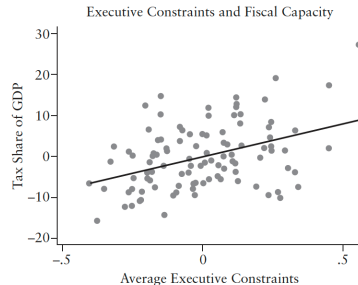
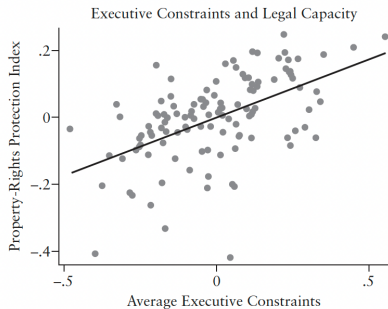
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Development clusters



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- Redistribution + cohesion $\Rightarrow$ Fiscal and legal capacity.
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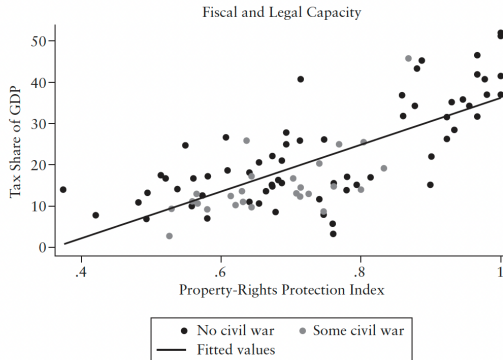


Figure 1.4 Legal and fiscal capacity conditional on civil war.

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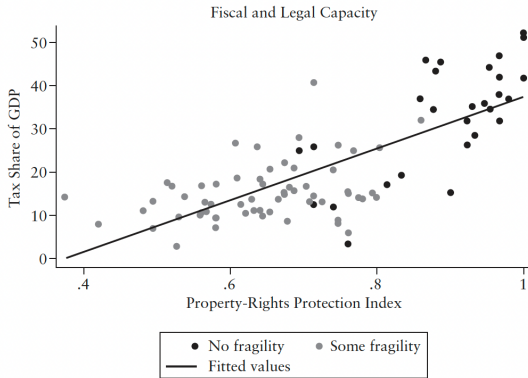


Figure 1.5 Legal and fiscal capacity conditional on fragility.

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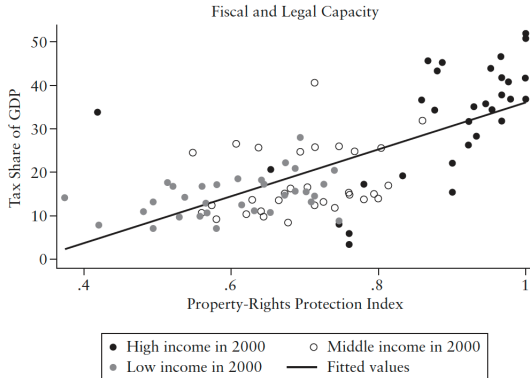
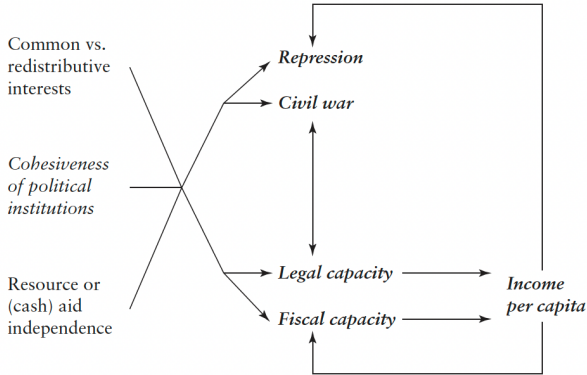


Figure 1.3 Legal and fiscal capacity conditional on income.

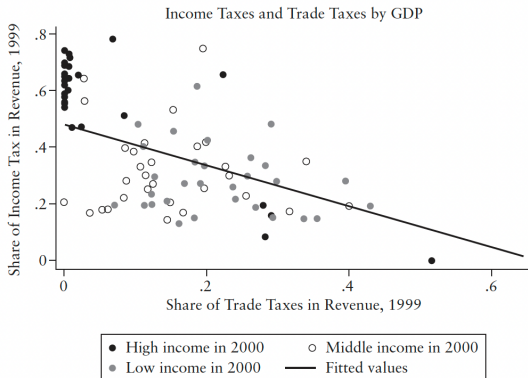
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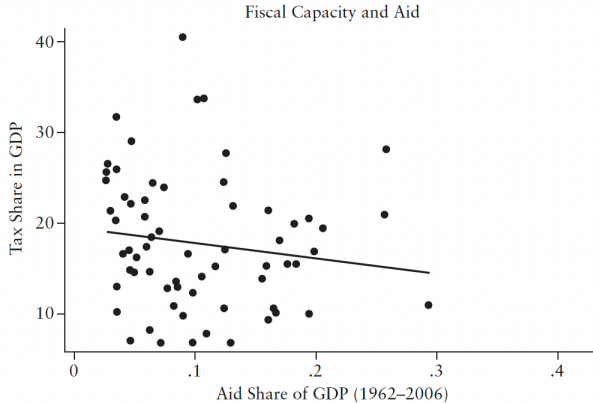
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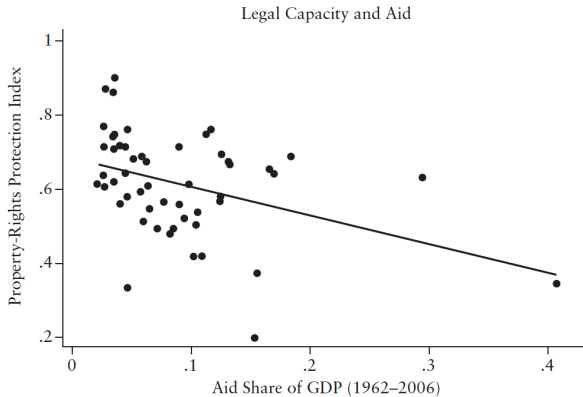
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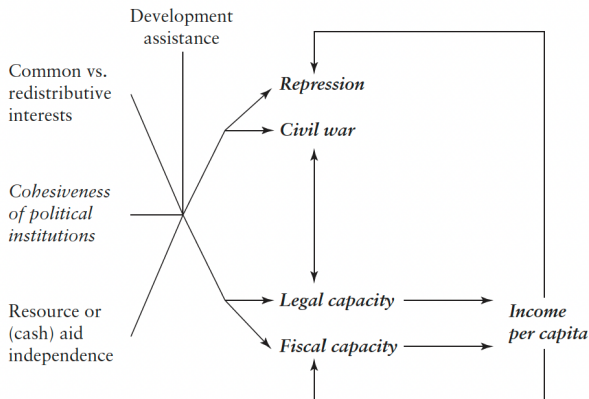
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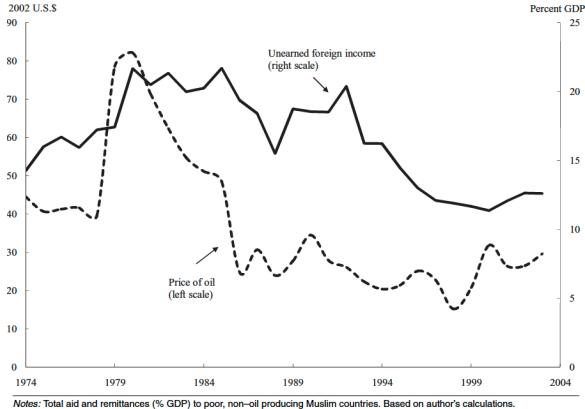
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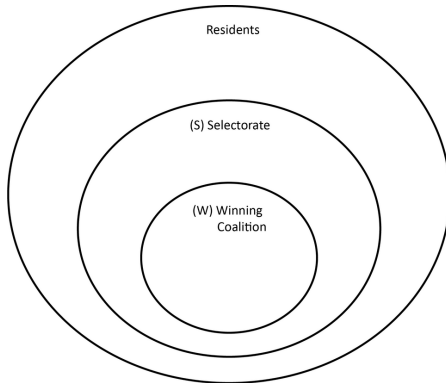
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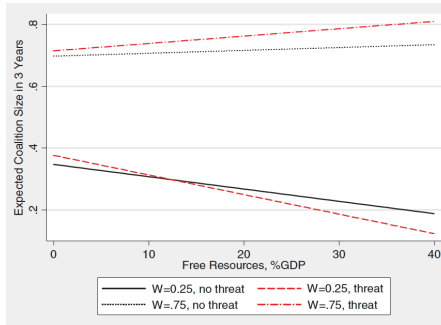
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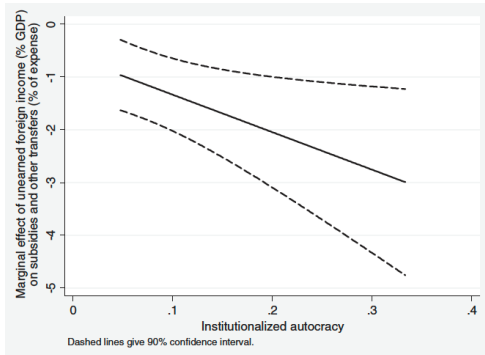
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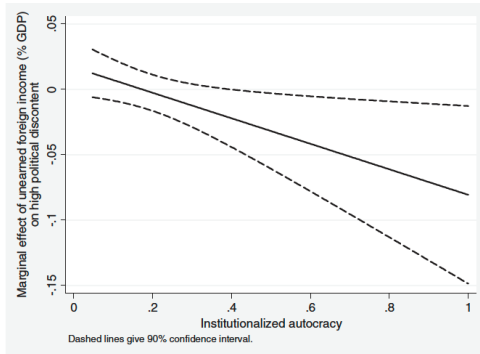
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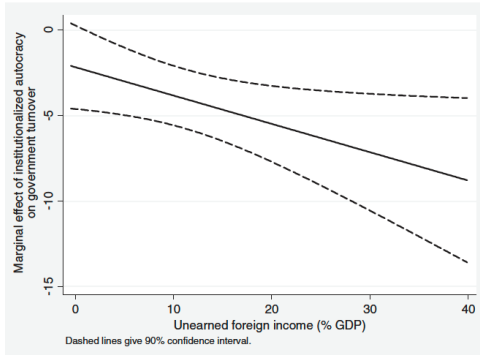
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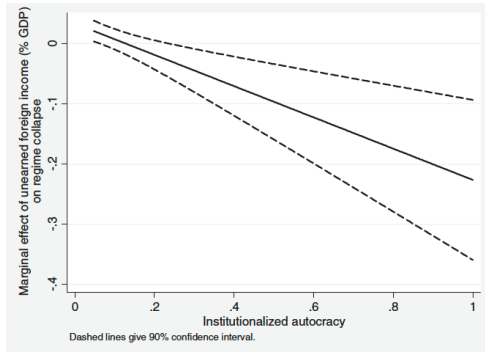
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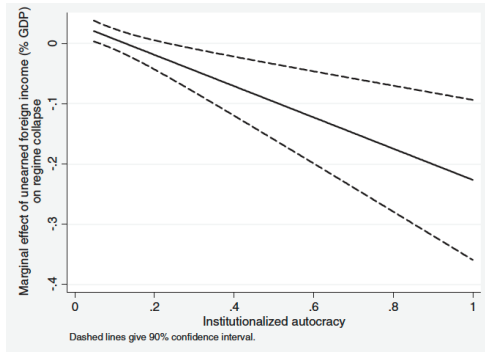
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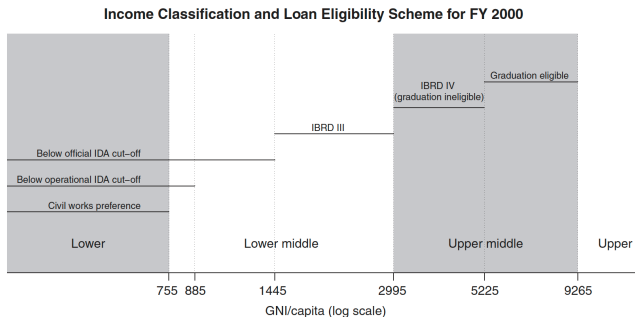
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■ Can create a right scheme of incentives for institutions.

■ Positive conditionality may be necessary.

■ Incentives for good performance.

■ Incremental allowing adaptation.

■ Autonomy and verification are important.

Promoting positive effects from IOs

Δ Aggregate Polity and Freedom House

	Placebo	Instantaneous	+1 year	+2 years	+3 years
RD estimate	-0.10 (0.06)	0.19* (0.08)	0.36* (0.14)	0.36* (0.17)	0.18 (0.12)
<i>N</i>	68	58	49	43	40
<i>R</i> ²	0.13	0.18	0.19	0.14	0.06

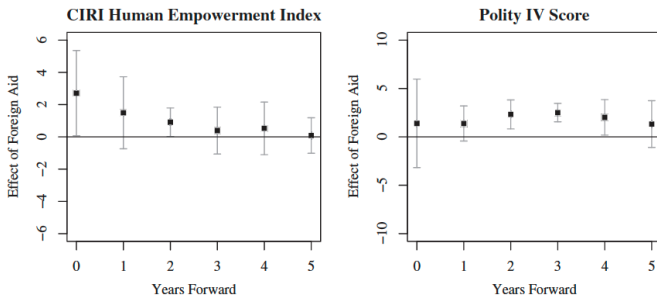
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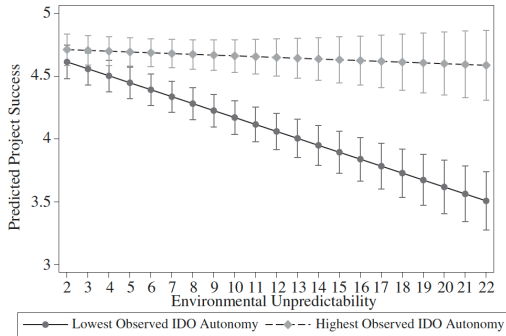
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- Positive feedback loop through legal and state capacity.
 - ...e.g., tax/GDP and rule of law.
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Teaching evaluations



The exam: 2hr in person exam

- 6 analytical questions, in groups of 2 (all weighted equally)..
 - broad topic A, question 1 and 2 are related.
 - broad topic B, question 3 and 4 are related.
 - broad topic C, question 3 and 4 are related.
- Will cover most, or all, topics.
- Limited time, so read to internalise and memorise where relevant...
 - We won't ask specific questions about optional readings...
 - ...but doing them is helpful.
- Slides should be a good resource for studying as they summarize.
 - ...but insufficient; add class notes + main readings.
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 - ...but insufficient; add class notes + main readings.
- Do mock-exams at home beforehand.
 - ...see some of the questions from the study sheet.

You writing...

- Be concise and succinct... verbosity will NOT get you any points.
- ...aim for sophistication, clarity, and depth.
- No opinions but whether you understand the material covered.
- You are not expected to directly cite any literature in the exam.
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- Go over the mandatory reading.
- Redo seminar exercises and revisit slides.
 - e.g., can you succinctly explain the summarizing bullet points in slides?
- Consider study groups.
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Class exercise: practice questions

- Make groups of 2/3 people, and number yourselves.
- Consider: US has increased trade-tariffs to address trade adjustment costs.



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- Make groups of 2/3 people, and number yourselves.
- Consider: US has increased trade-tariffs to address trade adjustment costs. Then on the basis of the number you have:
 - 1 Broadly speaking, who should benefit? Who should lose? Why? Provide one example of a winner and of a loser from higher tariffs.
 - 2 If a firm that used to serve only the US market, becomes a multinational, would they lobby in favor or against the higher tariffs?
 - 3 What policy can the US use to address trade adjustment costs from higher tariffs? Broadly, who would favor it? Who would oppose it?

10 minutes.



reset

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Class exercise: practice questions

- Make groups of 2/3 people, and number yourselves.
- Consider: Numerous developing countries are accepting Chinese foreign aid. Then on the basis of the number you have:
 - 1 Why is China providing this aid? Why do these countries accept this aid? Elaborate broadly on the characteristics of the characteristics of these countries, and the motivations from China as an aid provider.
 - 2 African countries obtain much of thus aid without having cohesive and redistributive institutions. Will this aid help these countries develop? If so, can we evaluate this using macro-level data? How?
 - 3 How can the World Bank address Chinese encroachment while generating higher levels of development in African countries?

10 minutes.